"Milking The Poor"

For many years, European dairy farmers have received large financial support through the EU's Common Agricultural Policy (CAP). This has allowed them to sell milk powder and other products abroad at prices lower than it costs to produce them. As a result, developing countries have suffered in three key ways: **local dairy farmers can't compete, global milk prices drop, and these countries struggle to sell their own dairy products in other markets.**

In 2005, however, the EU decided to change the nature of those subsidies by ‘decoupling’ them from the production levels of farmers. The aim was supposedly to avoid distorting international trade and prices for agricultural products. But the amount spent on subsidies remains the same; it is only the way they are given that has changed. These new subsidies are now classified by the World Trade Organization (WTO) as "Green Box" payments, which are supposed to have little or no effect on trade. Despite this, a report shows that these subsidies are still harming dairy farmers in developing countries. In Bangladesh, where many poor families rely on milk production to earn a living, cheap imported milk continues to hurt local farmers. These imports make it hard for them to compete and discourage investment in the local dairy sector. The report also highlights that Arla Foods, a large dairy company from Denmark and Sweden, is benefiting from selling EU-subsidized milk powder in Bangladesh, further damaging local farmers.

The root of the problems: EU subsidies

At the root of the problem of cheap milk powder imports in Bangladesh are the massive subsidies given to European dairy farmers while Bangladeshi milk producers receive no direct support from their government. EU subsidies include -----

1. The 'single payment' scheme of decoupled payments delivers a massive € 5 billion per year to EU dairy farmers.

2. The EU dairy farmers are protected by high EU import tariffs, which effectively close the EU market to dairy imports from third countries.

3. The EU also maintains a policy of direct intervention to buy farmers' outputs at a certain period of the year to maintain market prices.

4. In addition, the EU has in recent years initiated major ‘safety-net’ support programmes for dairy farmers to sustain milk production in the face of price declines. In 2009, for example, the EU spent an additional €600 million on top of the €5 billion in direct payments in response to low prices at the time.

5. The EU gives export subsidies to its farmers when European dairy prices are higher than global prices, helping them compete in world markets. Between 1996 and 2006, these subsidies were significant, ranging from €475 million to €1.8 billion.

At this point, the EU began offering subsidies of up to 50 percent on its milk powder, butter and cheese exports. At the 2005 WTO negotiations, it was agreed that all export subsidies should end by 2013, but these negotiations are still ongoing.

Export Subsidies And Arla foods.

In early 2009, when dairy prices dropped, the EU brought back export refunds and gave farmers milk premiums based on their production. An aid package of €280 million was approved, with €600 million set aside for market support. In Denmark, 4,300 farmers received €9.8 million in milk premiums, and Arla Foods got around €8.6 million in support for processing milk. In the first nine months of 2009, Arla Foods exported 1.5 million kg of milk powder to Bangladesh at the price of € 35 million. This was subsidised at a rate of €35 per 100 kg, and corresponds to 15% of the export price, meaning that without the subsidies, Arla Foods would have had to raise the export price 15% to earn the same income. This cost was covered by European taxpayers.

'Decoupled payments' increase production and reduce world prices.

Although supporters of decoupled payments claim that they don’t affect production or trade, studies show they actually increase EU production and lower global prices. This harms producers in countries like Bangladesh, where low milk prices are a major issue. A 2010 Danish report also confirmed that EU subsidies boost production, and that ending them would reduce output. A 2008 survey in northern Bangladesh found low milk prices were the biggest challenge for local farmers.

EU export subsidies also reduce world prices.

The EU's export subsidies, by encouraging production and export, have also tended to lower world market prices for milk. Without the subsidies, the EU would produce less and have fewer goods to export at low prices, which would increase world market prices and shift the balance of trade towards third countries.

Example: 2008 report care Bangladesh.

European Low price of milk powder causes major challenge, mentioned by 42% of dairy farmers in Bangladesh. A typical Bangladeshi dairy farm loss:

→Taka 3,425 (€36) per year.

→ reduction in dairy income of 43 per cent

→loss of overall household income of 7-16 per cent.

→Around 7 million people would be affected